



Learning Space

IAS MAINS 2020

ETHICS, INTEGRITY & APTITUDE

CASE STUDIES

MODULE - 9

CASE STUDY - 9

A large business conglomerate in India is well-known and respected for the ethical way of conducting its business. Its interests span wide array of sectors, and its performance affects the Indian economy. The controlling stake in the group is held by a family trust, belonging to the family that founded the group. You, a minority stakeholder, were appointed as the CEO to succeed a retiring CEO, a majority stakeholder, who during his stint took several dynamic decisions to spur the reach and growth of the company. After careful evaluation, you decided to restructure or close the loss-making units. This led to severe differences of opinion with the board, culminating in your unceremonious sacking. You went to the tribunal, and it ruled in your favour, directing the organisation to reinstate you as the CEO. Consider the following choices:

- i. If you accept the tribunal's verdict and become a CEO again:
 - a) There will be constant friction with the board members, impeding implementation of several policy decisions.
 - b) The internal bickering may have adverse impact on the group's brand value, thus affecting its business, employees and the smaller shareholders.
- ii. On the other hand, if you gracefully bow out of the race because you feel that justice is already done:
 - a) It will be a serious blow to the rights of the minority stakeholders in India.
 - b) The restructuring of the organization will remain an unfinished business.

Which choice would you choose and why? What steps would you initiate to ensure public trust in corporate governance? (250 words)

CASE STUDIES

The case narrates the recent power struggles in big corporates, undermining stakeholder trust and rule of law which states that stakeholders interest is of prime importance.



As a reinstated CEO, I will choose the first option and initiate the following steps:

- Reasons for accepting the verdict:
 - ✓ It prevents any future repetition of such an exercise by majority shareholder
 - ✓ Respecting rule of law
- The immediate steps I will take to smoothen the friction are:
 - ✓ Meet the promoters and discuss the issues to bring to consensus on conflicting opinions.
 - ✓ Document the minutes of meeting along with promoters' pledge that stakeholders i.e., retail investors' interests are of prime importance.

MEASURES TO REPOSE PUBLIC TRUST

- Announce emergency stakeholders meet immediately after accepting the judgment
- Apologise for the hard times created for retail investors and make public the minutes of meeting
- Assure utmost transparency and corporate practices in line with corporate law
- Promise the stakeholders of boosting the returns for the company and a bonus share, if possible, in near future
- Enable private audit by a third party on accounting practices and make it public
- With consensus of promoters, put to stakeholders voting on the issues of conflict, if and when they arise, and accept their decision.

CONCLUSION

As stated by Deontological philosophers, including Mahatma Gandhi, it is not only the ends but also the means used to realize the ends that are to be just for an action to be just. In corporate governance, an action is just if that results in welfare of all stakeholders.

WE EXPRESS OUR
SINCERE THANKS
FOR VIEWING THIS VIDEO

Presented by



Learning Space

For Suggestions:

suggestions@learningspace.in

To Contact us:

info@learningspace.in

For Information:

info.learningspacedigital@gmail.com

Visit us at:

www.learningspacedigital.com

0866 244 44 72

98499 42299

94415 27588